7.7.3 DEBTORS LIST ON 31 AUGUST 20.8

Debtor	Fol	Amount
M. Mean	DL1	2 573
K. Kind	DL2	1 690
G. Gentle	DL3	2 858
		7 121

7.7.4 Compare the Debtors control account balance with the Debtors List.

TASK 7.8 group work

[LO 1; AS 1.2, 1.3]

This task is to allow the learner's time to discover how to handle returns and allowances. Give them time to discuss the issues in groups and to report back before you introduce the topic formally.

Suggested answers:

- Yes – the debtor does not owe you the money, the profit was not made on the sale and the trading stock has been returned.

Entry	Debtors	Trading stock	Expenses	Capital	Income
Sale of the goods	Increase with the selling price				Increase with the selling price
		Decrease with the cost price	Increase with the cost price		
Return of goods	Decrease with the selling price				Decrease with the selling price
		Increase with the cost price	Decrease with the cost price		

- Show the ledger accounts – refer to the example in the textbook.
- No we need to draw up a journal first – allow the learners to design their own journal and call it what they want at this stage.
- Then only the selling price would have been recorded as no goods were returned. A profit would still have been made although it will be less as a result of the overcharge.
- Cash return is the same except instead of debtors the entry will be in the cash payments journal and posted to the bank account.

TASK 7.9

[LO 1; AS 1.2, 1.3]

7.9.1 PUMELO STORES
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Inv. No.	D	Debtor	Fol	Sales	Cost of sales
B08	05	D. Day	DL1	5 523	3 682
B09	10	N. Night	DL2	6 984	4 211
B10		M. Morn	DL3	644	483
B11	18	M. Morn	DL3	800	400
B12	20	N. Night	DL2	2 459	1 639
B13		M. Morn	DL3	1 912	1 434
B14	28	D. Day	DL1	1 870	1 207
B15		M. Morn	DL3	360	300
				20 552	**13 356**
				B6/N1	N2/B5